were assessed for genuineness. This is a completely insignificant number – effectively 0 per cent, calling into question this goal itself and certainly indicating its complete failure.

Equally interesting is that the new ₹500 and ₹2,000 notes were already being counterfeited within three months of demonetization.

The above data represents only fake notes detected by the banking system. FICNs are also seized by the police and law enforcement agencies. Data shows that the number of fake notes detected after demonetization, outside of the banking system, were also significantly lower than before:

Table 9: Fake Indian Currency Notes (FICN) Detected by Law Enforcement Agencies

	No of FICN Notes Seized	Value of FICNs Seized (₹)
FY 2015–16	8,80,000	43.8 crore
March–September 2016	NA	27.8 crore
9 November 2016–14 July 2017	1,57,797	11.23 crore

Source: National Crime Records Bureau

If we aggregate the value of fake notes detected post demonetization, both by the banking system and by law enforcement agencies (accounting for marginal differences in dates), we obtain a value of ₹ 30.77 crore (i.e., 19.53 + 11.24), a small fraction of the total estimate of ₹400 crore of counterfeit money.

As stated earlier, the cost of printing the new notes was ₹7,965 crore in 2016–17 and an additional ₹4,912 crore in 2017–18, leading to the conclusion that not only did demonetization fail in the objective of destroying counterfeit notes, but it did so at a very high cost.[17]

So once again, the question we must ask is, could demonetization have succeeded in tackling the problem of counterfeit notes and FICNs had it been better planned and implemented?